

US equities: Market whiplash could spark a new value regime

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/clearbridge-investments/us-equities-market-whiplash-could-spark-a-new-value-regime>

Extraction method: selenium

US equities: Market whiplash could spark a new value regime

Key takeaways

Since the pandemic, the volatility of returns between growth and value has surged, which we believe is emblematic of a shift toward a new, value-led market regime.

Volatility spikes are essential in helping decouple stock price from intrinsic value, which creates opportunities for active managers.

With valuation spreads at historic and unsustainable highs, we believe value stocks have incredibly latent energy that could further amplify returns during an eventual rebound.

In the years since the COVID-19 pandemic, equity markets have undergone a series of sharp and sudden reversals between growth and value stock leadership?moves that have left even seasoned investors scrambling to adapt. These swings have not only been swift, but historically outsized, raising a crucial question: Are these merely cyclical rotations, or do they signal something deeper? The evidence increasingly points to a regime change toward a value-led market.

Increasing volatility creates opportunities

In the decade leading up to the pandemic, growth stocks, particularly in the technology sector, dominated market returns. Ultra-low interest rates, low inflation, and a scarcity of real economic growth funneled capital into companies promising outsized future earnings. The FAANG cohort¹ became emblematic of this era: long-duration assets whose valuations ballooned as discount rates plunged. That trend culminated in 2020 and early 2021, when pandemic conditions accelerated adoption of digital technologies, driving valuations for growth stocks to extreme levels.

However, since the pandemic, the market has seemingly been engaged in a high stakes tug-of-war, with the volatility of returns between growth and value stocks having surged 2.7x times higher than the previous decade (Exhibit 1). We believe that the magnitude of these reversals?sharp, frequent, and wide?suggests more than a tactical trade, but rather a shift toward a new, value-led market regime, as the transition between market regimes is rarely smooth and periods of high volatility have often been followed by a significant rebound in value stocks.

Many investors, particularly those utilizing significant leverage, see this kind of ?faster volatility? as something to be avoided at all costs, which leads them to tend to overreact to downside volatility when it surfaces?selling off assets and accumulating cash. However, we recognize that these kinds of volatility spikes are an essential catalyst in helping decouple stock price from intrinsic business value, allowing active managers like ourselves the opportunity to capitalize on mispricings to upgrade portfolios at even lower cost. Such was the case during April?s ?Liberation Day? selloff, where even companies reporting good news were dragged down alongside the broader market. Similar episodes of indiscriminate selling have occurred regularly in the post-pandemic era, providing attractive backdrops to take advantage of temporary mispricings of fundamentally sound businesses.

Exhibit 1: Post-COVID Leadership Oscillates: S&P 500 Value Minus Growth

As of March 31, 2025. Sources: Bloomberg Finance, L.P., ClearBridge analysis. The S&P 500® Value Index measures constituents from the S&P 500 that are classified as value stocks based on three factors: the ratios of book value, earnings and sales to price. The S&P 500® Growth Index measures constituents from the S&P 500 that are classified as growth stocks based on three factors: sales growth, the ratio of earnings change to price, and momentum. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator or a guarantee of future results.

However, the caveat is that investors must be mindful of managing their downside volatility, particularly given the speed and magnitude of the post-COVID market. Our solution is to construct a portfolio of stocks with low correlations to each other, which allows us to manage the downside volatility of the overall portfolio while still using market volatility as a

sharp-edged tool to buy those attractive opportunities when they fall more than 30% below our estimated value.

Value has energetic potential

Despite several powerful periods of outperformance by value stocks, the last two years have largely been driven by growth stocks, particularly levered to the development and buildout of artificial intelligence. As a result, valuations spreads have rebounded to historic highs, with value stocks now trading at the 91st percentile relative to growth stocks. We believe that such excesses are not sustainable, and that such depressed valuations represent an incredible store of latent energy to power returns once value stocks begin their eventual rebound. This is not mere speculation. Since 1979, following periods of 25% underperformance versus growth stocks, value stocks have historically recovered and outperformed growth over the following 24 months—a threshold we saw triggered in the first quarter of 2025 (Exhibit 2).

Exhibit 2: Value, Down But Not Out: Relative Value vs Growth Following -25% 12-Month Value Underperformance

Russell 1000 Growth, Russell 1000 Value, reflective of period from 1979 ? present, as of March 31, 2025. Sources: FactSet, Russell. The Russell 1000® Growth Index measures the performance of the large- cap growth segment of the US equity universe. The Russell 1000® Value Index measures the performance of the large-cap value segment of the US equity universe. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator or a guarantee of future results.

Style reversals are nothing new, but the recent magnitude and frequency of swings between growth and value indicates the debate within markets is intensifying to the point where a new value cycle should crystalize. We believe current valuation extremes in the market suggest such a cycle will take hold sooner rather than later.

Endnote:

1. FAANG stocks are Meta (formerly Facebook), Amazon, Apple, Netflix and Alphabet (formerly Google).

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Past performance is no guarantee of future results. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges.

Equity securities are subject to price fluctuation and possible loss of principal. Large-capitalization companies may fall out of favor with investors based on market and economic conditions. Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Commodities and currencies contain heightened risk that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

US Treasuries are direct debt obligations issued and backed by the ?full faith and credit? of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

WF: 5395475

CONTRIBUTORS

Sam Peters, CFA

Portfolio Manager

Related Content

Three possible paths for US value in 2025

Explore ClearBridge Investments Insights

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.